

OFFICIAL ENTERPRISE DOCUMENTATION

AccountBook ERP User Manual & Operating Guide

A comprehensive, standard-compliant handbook covering multi-sector operations, double-entry bookkeeping (IAS/IFRS & US GAAP), global taxation engines, automated amortization schedules, and standard operating procedures (SOPs).

SYSTEM VERSION

Version 2.0 LTS (Enterprise)

COMPLIANCE SCOPE

IAS / IFRS / US GAAP /
ZATCA / FBR

TARGET JURISDICTIONS

PK, US, UK, UAE, KSA, CA, EU

1. System Introduction & Accounting Foundations

AccountBook is an enterprise-grade ERP designed to unify financial accounting, supply chain, manufacturing, workforce management, and field operations across all business sectors worldwide.

Core Accounting Standards Enforced: All transactional records, journals, inventories, fixed assets, and revenue recognitions strictly follow **International Accounting Standards (IAS)**, **International Financial Reporting Standards (IFRS)**, and **US GAAP**.

1.1 Double-Entry Bookkeeping Principles

The system enforces strict real-time double-entry balancing. Every financial posting requires equal debits and credits:

$$\sum \text{Debits} \equiv \sum \text{Credits} \quad | \quad \text{Assets} = \text{Liabilities} + \text{Equity}$$

Out-of-balance entries cannot be posted under any circumstances. If an operational module (e.g. Sales, Purchasing, Payroll) generates a transaction, balanced GL line items are automatically posted in the background.

1.2 Accrual Basis Accounting

Revenues and expenses are recognized when earned or incurred (not when cash is received or paid), fulfilling the *Matching Principle* (IAS 1).

1.3 Immutable Audit Trail

Posted general journal entries, sales invoices, vendor bills, and tax returns are **immutable**. They cannot be hard-deleted or altered. Corrections must be made via balanced reversing journals or credit/debit notes with complete user and timestamp tracking.

1.4 Multi-Currency & Real-Time FX Revaluation (IAS 21)

Transactions support foreign currencies (USD, GBP, EUR, AED, SAR, PKR, CAD). Each transaction maintains both the transaction currency value and the functional base currency value. The system computes realized and unrealized foreign exchange (FX) gains and losses upon receipt, payment, and period-end revaluation.

2. 3-Step Setup Wizard & Onboarding

When a company or persona first accesses AccountBook, the 3-step setup wizard initializes the workspace:

1

License Mode
Choose 90-Day Free Commercial Trial, Founding Customer Partner, or Commercial License Token.

2

Country & Currency
Select operating country. Pre-configures base currency, tax authorities (FBR, HMRC, FTA, ZATCA, IRS), and VAT rates.

3

World Business Sector
Pick from global industry list. Automatically tunes active modules, BOMs, timesheets, and inventory settings.

Supported Global Tax Jurisdictions:

COUNTRY	CURRENCY	TAX AUTHORITY	DEFAULT RATES & RULES
Pakistan	PKR (Rs)	FBR / PRA / SRB	16%–18% Sales Tax, Provincial Services Tax, Withholding Tax Slabs
United States	USD (\$)	IRS / State BOE	State/Local Sales Tax (e.g. CA 8.25%), IRS 1099 Vendor Reporting
United Kingdom	GBP (£)	HMRC	20% Standard VAT, Making Tax Digital (MTD) Box 1–9 Return Format
United Arab Emirates	AED (إ.د.)	FTA	5% Standard VAT, UAE Corporate Tax (9%), FTA VAT 201 Form
Saudi Arabia	SAR (ر.س.)	ZATCA	15% Standard VAT, ZATCA Phase 2 E-Invoicing Cryptographic QR
Canada	CAD (\$)	CRA	GST (5%) + PST/HST Dual Tax Breakdown
Germany / EU	EUR (€)	EU Tax Authorities	19% Standard VAT, Reverse Charge Mechanism (RCM) for Cross-Border EU

3. User Personas & Role-Based Access Control (RBAC)

The system includes 5 standard personas for complete segregation of duties (SoD):

PERSONA	LOGIN EMAIL	ASSIGNED ROLE	PRIMARY SCOPE & PERMISSIONS
 Muhammad Ali	admin@acme.com	Super Administrator	Full access to all 11 modules, system settings, user roles, license generation, and database reset tools.
 Sarah Jenkins	accountant@acme.com	Senior Accountant	General Ledger, Journal Entries, Fixed Assets, Prepayments, Bank Reconciliations, Financial Statements, Period Closing.
 David Chen	inventory@acme.com	Warehouse Manager	Goods Receipt Notes (GRN), Stock Transfer Notes (STN), Multi-Warehouse Balances, Physical Stock Count Adjustments.
 Alex Rivera	manufacturing@acme.com	Production Engineer	Bill of Materials (BOM), Work Orders, Labor & Manufacturing Overhead (MOH) Allocations, Finished Goods Receipt.
 Amina Al-Mansoor	auditor@acme.com	External Auditor	Read-only compliance audit trail, general ledger trace, historical journals inspection, tax return verification.

4. Commercial Licensing & In-App Customer Feedback

4.1 License Lifecycle & Token Activation

- **90-Day Free Commercial Trial:** Grants unrestricted enterprise access. A countdown badge displays remaining days.
- **Commercial Activation:** Super Admins can enter signed license keys generated for 3-Month, 6-Month, 1-Year, or Lifetime validity.
- **Trial Expiry Protection:** Upon trial expiration, the system gracefully enters read-only mode, preserving all accounting data without loss.

4.2 In-App Customer Feedback Sub-System

Users can submit suggestions, bug reports, and usability ratings directly from the UI by clicking the  Feedback button in the floating trigger bar (bottom-right). All submissions are aggregated into the Super Admin Feedback Inbox under Administration → Feedback Inbox.

5. Core Accounting & General Ledger

5.1 Standard 5-Digit Chart of Accounts (COA) Tree

CODE RANGE	CLASSIFICATION	NORMAL BALANCE	KEY ACCOUNTS
10000–19999	Assets	Debit	11100 Cash, 11200 Banks, 12000 Accounts Receivable, 13000 Inventory, 14000 Prepaid Expenses, 14050 Advances to Suppliers, 15100 Fixed Assets
20000–29999	Liabilities	Credit	21100 Accounts Payable, 21200 GRNI Accrual, 21300 Salaries Payable, 22000 Output VAT Payable, 22100 WHT Payable, 23000 Deferred Revenue, 23100 Customer Advances
30000–39999	Equity	Credit	31000 Share Capital, 32000 Retained Earnings
40000–49999	Revenue	Credit	40000 Product Sales Revenue, 41000 Service & Consulting Revenue, 49000 Sales Discounts Allowed
50000–59999	Cost of Goods Sold	Debit	51000 Raw Materials Consumed, 52000 Direct Labor, 53000 Manufacturing Overhead (MOH)
60000–69999	Operating Expenses	Debit	61000 Office Rent, 62000 Insurance Expense, 63000 Utilities, 64000 Depreciation Expense, 65000 Salaries & Wages

5.2 Fixed Assets & Depreciation Runs (IAS 16)

Fixed Assets are recorded at historical cost and depreciated straight-line over useful life. Executing the monthly depreciation run posts:

Debit: Depreciation Expense (64000)

Credit: Accumulated Depreciation (15200) [Contra-Asset]

6. Sales & Accounts Receivable (AR)

The sales engine supports Quotations, Sales Orders, Invoices, Receipts, and Credit Notes.

Standard Sales Cycle GL Postings:

1. Sales Invoice Approved & Posted:

Debit: Accounts Receivable (12000)	[\$1,200]
Credit: Sales Revenue (40000)	[\$1,000]
Credit: Output Sales Tax / VAT Payable (22000)	[\$200]

2. Customer Payment / Receipt Recorded:

Debit: Bank Current Account (11200)	[\$1,200]
Credit: Accounts Receivable (12000)	[\$1,200]

7. Customer Advances & Deferred Revenue (IFRS 15)

Located at **Sales & Customers** → **Deferred Revenue & Advances**.

When customers pay annual upfront retainers, software subscriptions, or service deposits before services are rendered, revenue cannot be recognized immediately. It is held as a Current Liability under 23000 Deferred Revenue and amortized monthly into earned revenue.

Operating Procedure:

1. Click + **New Deferred Revenue Contract**.
2. Enter Customer, Contract Title, Total Advance Amount, Start Date, and End Date (e.g. 12 Months).
3. The system generates a monthly recognition schedule.
4. Click **Recognize Revenue (Batch Run)** each month → Automatically posts:

Debit: Deferred Revenue (23000)	[Liability Decreased]
Credit: Service / Sales Revenue (41000)	[P&L Earned Revenue]

8. Procurement & 3-Way Matching Accounts Payable (AP)

To ensure internal control and audit compliance, procurement follows **3-Way Matching**:

- **1. Purchase Order (PO):** Specifies authorized quantities and agreed unit pricing.
- **2. Goods Receipt Note (GRN):** Confirms physical warehouse receipt, recording temporary accrued liability:

Debit: Inventory Asset (13000)
Credit: GRNI Accrual Clearing (21200)

- **3. Vendor Bill:** Matches against PO and GRN quantities. Upon approval:

Debit: GRNI Accrual Clearing (21200)
Debit: Input Tax / Recoverable VAT (14100)
Credit: Accounts Payable (21100)

9. Vendor Prepayments & Amortization (IAS 1 / GAAP)

Located at **Procurement** → **Prepayments & Amortization** and **Accounting** → **Prepayment Schedules**.

When paying annual office rent, insurance policies, or software subscriptions in advance, payment is held as a Current Asset under 14000 Prepaid Expenses and expensed monthly.

Operating Procedure:

1. Click + **New Prepayment Schedule**.
2. Enter Title (e.g., *Annual Office Rent HQ*), Vendor Name, Amount, Start Date, and End Date.
3. Select **Prepaid Expenses (14000)** and **Expense Account (61000 Rent Expense)**.
4. Click **Run Monthly Amortization** each month → Automatically posts:

Debit: Office Rent / Insurance Expense (61000 / 62000) [P&L]
Credit: Prepaid Expenses (14000) [Asset Decreased]

10. Banking, Treasury & Bank Reconciliation

The 5 Standard Voucher Types:

CODE	VOUCHER NAME	PRIMARY USE CASE	TYPICAL GL POSTING
BPV	Bank Payment Voucher	Vendor bill payouts, tax remittances, operational bank expenses.	Dr: Accounts Payable (21100) / Cr: Bank (11200)
BRV	Bank Receipt Voucher	Customer settlements, capital injections, direct bank receipts.	Dr: Bank (11200) / Cr: Accounts Receivable (12000)
CPV	Cash Payment Voucher	Petty cash expenses, office supplies, site disbursements.	Dr: Office Supplies Expense (66000) / Cr: Petty Cash (11100)
CRV	Cash Receipt Voucher	Cash retail collections, cash advances returned.	Dr: Petty Cash (11100) / Cr: Sales Revenue (40000)
JV	Journal Voucher	Non-cash accruals, depreciation, amortizations, payroll postings.	Dr: Expense (6xxxx) / Cr: Accrual/Asset (1xxxx/2xxxx)

Bank Reconciliation Engine:

1. Navigate to **Banking & Payments** → **Bank Reconciliation**.
2. Import bank statement CSV/OFX files under **Bank Import**.
3. Click **Auto-Match** → Engine pairs statement lines with GL ledger transactions by Date, Voucher Reference, and Amount.
4. Review unmatched items to identify uncleared deposits or unrepresented checks.

11. Manufacturing, Bill of Materials (BOM) & Job Costing

1

Bill of Materials (BOM)

Specify raw materials, scrap %, and standard labor hours per finished unit.

2

Work Order Release

Issue raw materials from warehouse into Work-in-Progress (WIP Asset 13200).

3

Finished Goods Receipt

Receive completed batch into stock, transferring total WIP into Finished Goods (13000).

1. Raw Material Issued to Production:

Debit: Work In Progress (WIP) Asset (13200)

Credit: Raw Materials Inventory (13100)

2. Production Completed & Received into Stock:

Debit: Finished Goods Inventory (13000)

Credit: Work In Progress (WIP) Asset (13200)

12. Payroll, Statutory Tax Slabs & HR Administration

1. **Employee Setup:** Define basic pay, housing allowance, conveyance, and medical allowances.
2. **Statutory Deductions:** Automatically calculates country-specific income tax withholding, employee pension/PF, and social security (EOBI).
3. **Processing Monthly Payrun:**
 - Navigate to **Payroll & HR** → **Payroll**.
 - Click **Generate Payrun** → Review calculated gross pay, tax deductions, and net salary.
 - Click **Approve & Post Payrun:**

Debit: Salaries & Wages Expense (65000) [\$10,000]
 Credit: Income Tax Withholding Payable (21400) [\$1,200]
 Credit: EOBI / Social Security Payable (21500) [\$300]
 Credit: Net Salaries Payable (21300) [\$8,500]

4. **Disbursement & Payslips:** Disburse bank payment voucher (BPV) and generate individual PDF Salary Slips.

13. Standard Operating Procedures (SOPs) & Checklists

13.1 Daily Operations SOP Checklist

- [] Enter and post all daily Sales Invoices; email PDF copies to customers.
- [] Record incoming customer payments and apply to invoices.
- [] Receive warehouse goods (GRNs) and match against supplier purchase orders.
- [] Review and approve pending purchase requests and expense claims.

13.2 Month-End Closing SOP Checklist (Step-by-Step)

ORDER	TASK DESCRIPTION	MODULE / MENU LOCATION
Step 1	Execute Fixed Asset Depreciation Run	Assets & Inventory → Depreciation Run
Step 2	Run Vendor Prepayment Amortization Batch	Procurement → Prepayments & Amortization
Step 3	Run Customer Deferred Revenue Recognition Batch	Sales & Customers → Deferred Revenue
Step 4	Process, Post, and Disburse Monthly Employee Payrun	Payroll & HR → Payroll
Step 5	Import Bank Statements and Complete Reconciliations	Banking & Payments → Bank Reconciliation
Step 6	Review VAT / Sales Tax Return & Verify Input/Output Balances	Government Compliance → Tax Returns
Step 7	Verify Trial Balance Balances ($\sum \text{Dr} = \sum \text{Cr}$)	Accounting → Financial Reports → Trial Balance
Step 8	Set Monthly Period Lock Date to prevent backdated edits	Accounting → Period Closing

13.3 Year-End Closing SOP Checklist

- [] Conduct comprehensive physical stock cycle count and post adjustments.
- [] Compute IFRS 9 Expected Credit Loss (ECL) allowance on aged receivables.
- [] Execute IAS 21 Multi-Currency Year-End FX Revaluation.
- [] Roll forward Net Income to **Retained Earnings (32000)** and lock fiscal year.